

PRICING STRATEGIES AND SALES TOOLS

DAY 2



FUNDAMENTALS OF COSTING AND PRICING

LESSON TWO

PRICING METHODOLOGIES AND STRATEGIES

COST PLUS

MARKET PRICING

COMPETITOR PRICING

SUPPLY AND DEMAND

PSYCHOLOGICAL PRICE POINTS

BE WISE ABOUT RAISING YOUR PRICES

LESSON TWO:

Factors that affect price

- Company goals
- Expenses
- Customer response
- Competition
- Economic conditions

Let's start our pricing journey with a little fun quiz. Match the pricing strategy with the correct definition:

Pricing Strategy	Definition
A - Prestige Pricing	Difference between the retail price and the actual cost of an item. _____
B - Odd-even Pricing	Pricing products by calculating all costs and expenses and adding your desired profit. _____
C- Price lining	Selling several items as a package for a set price. _____
D - Bundle Pricing	Pricing an item at cost or below cost to draw customers into the store. _____
E - Predatory Pricing	Selling all goods in a product line at specific price points. Three cars of the same brand of varying qualities sold at three different price points. _____
F – Yield Management	An illegal practice where competitors conspire to set the same prices. _____
G - Loss-leader Pricing	Pricing items at different prices to maximize revenue when limited capacity is involved. Eg. Some seats are priced higher than others due to their location or the time they are purchased. ____
H - Cost-plus pricing	Pricing goods according to what the customer is willing to pay. Estimating what a spectator will pay for a ticket and calculating what forms of entertainment you can offer the customer at that price point. _____
I - Markup	Pricing goods with either an odd number or even number to match a product's image. Odd priced items (R25.99) reflect a bargain. Expensive items are often priced with even numbers (R100) _____
J - Target Pricing	Pricing based on wanting to create a certain perception. Very expensive sports watches, equipment and apparel will be priced above the average market price to attract consumers who may judge a product's quality by its price. _____
K - Price Fixing	Setting a very low price in order to drive competition out of business. _____
L – Skimming pricing	Setting a low initial price on a new product to appeal immediately to the mass market. _____
M- Penetration Pricing	Setting the highest initial price that customers really desiring the product are willing to pay. _____

PRICING METHODOLOGIES AND STRATEGIES

Pricing does not exist in a vacuum. Pricing strategies reflect not only what it took for you to bring a product to market (hard costs), but also what your target customers think it is worth (brand value), and what your competitors are charging for similar products or services. For this reason, unlike costing, pricing is **not an exact science**. You need to do your research and then use all the information at your disposal to make an informed decision when calculating your prices.

Remember, the 'Right' Price is the one that people are prepared to pay, and that also delivers you the necessary profit you require.

Below we will look at some accepted strategies, tools and methods to help guide you to the Right Price for your products and services. Let's start on our journey...

COST PLUS

Cost plus pricing is the simplest method one can use for determining prices, and is the most commonly applied. In this method, you simply take the cost of the product and add a mark-up to create a selling price. You can do this by using a fixed percentage (+100%, +200%) or a fixed markup (+R50, +R100), with a percentage mark-up being the most common.

The advantage of this method is that it is simple, and you can calculate your expected profit level very easily. You can work out exactly what you stand to make per product, per workshop, per contract, for an entire harvest etc, and can thus make accurate profit projections - as long as your sales targets are met.

The disadvantage is that it often may be less, or more, than customers are willing to pay, and if one is too rigid in employing this method some opportunities will be lost, either because you price yourself out of the market, or because you miss an opportunity to maximize your profit.

Below is a simple example of cost-plus pricing:

Cost of materials	R50.00
+ Cost of labour	R30.00
+ Overhead @ 50%	R40.00
= Total cost	R120.00
+ Desired profit (50% on costs)	R60.00
= Final selling price	R180.00



MARKET PRICING

The next milestone along your journey of arriving at the Right Price, involves understanding how your chosen sector and the customers that make it up relate to price. What does your experience or research tell you about your **target market and their buying impulses?**

If a 'cheap' price is the most important thing to them, then you may even have to sell for less than your cost-plus pricing is telling you or look at ways of simplifying the product/service to bring costs down so that you can offer a lower price.

However, if a bargain price is not a major priority to your target market, then you will be throwing away money by selling at low or discounted rates. In fact, you may even put customers off – when products are perceived as being ‘too cheap’, especially at the upper end of the market, this can be a turn off; people may think there is something wrong with the item, it is poorly made, has little value, nobody wants to buy it etc.

This perception also holds true for organizations that offer services – if you are asking a potential customer to support your consulting business and are offering sessions at R75 each, he or she may well question the quality of the offering being provided...similarly, imagine a legal firm that charges out its services at R50/hour – you would probably rather pay ten times that to avoid going to jail!

Remember that price itself is often a measure of value – we automatically value a Mercedes Benz more than a Tazz because it is expensive, not only because it has more features.

When using your analysis of the Market as a guide to set prices, you need to consider the following:

- Is your product/service just one of many or is it unique, or very rare? Many luxury brands for example, maintain high pricing levels by limiting the availability of a particular product.
- What type/demographic of customer are you targeting? (tourists, students, local residents, government, corporates, resellers etc.)? How do they generally respond to price?
- What segment of the market are you wanting to be positioned in (Premium, Luxury, Middle-Income, Cut-price)? Is your offering properly positioned to penetrate that market? This speaks to branding, packaging, service levels etc.

By looking at this information and answering the above questions, you should be able to determine a guide price bracket for your service or product that the market is willing to pay.

When you combine this with the other information at your disposal (cost plus figures, competitor pricing, supply & demand), you will be able to arrive at the most appropriate price – BUT remember, unlike costing, pricing is STILL not an exact science...At the end of the day, the right price is the one the customer is prepared to pay, that still allows you to make sufficient profit.

COMPETITOR PRICING

Once you have an idea of your costs and a target mark-up figure from a cost-plus perspective and have done your market research in terms of how your customers relate to price, the next step is to determine competitor pricing and how this influences what you can charge. As the name implies, this involves researching how much the competition is charging for similar products or services in your industry. In order to do this, you may have to telephone them for quotes, do research online or ask a colleague or member of your family to pose as a buyer to obtain a quote....

The information you gather on what others are charging will **give you a benchmark** to compare against. When combined with the results of your market research, you should be empowered to make an informed decision as to what you are able to charge.

It is generally unwise to price your product much **higher or lower** than the competition without a good reason – too high and you may lose customers (as you price yourself out of the market), too low and you are giving away profit and also suggesting that your offering is inferior...There are some exceptions, such as penetration pricing, but the general rule stands.

Remember that getting into price-cutting wars with competitors is a sure way to get burnt – if the competitor is bigger and more established than you, they will be able to bully you out of the market, and if you are equal in size you will both simply lose profits. Nobody wins.

Should you wish to charge more than your competitors, be ready to make a case for your higher price, such as providing a superior customer experience, a more comprehensive warranty policy, an obviously higher quality product, or a more powerful and compelling brand promise.

Remember when comparing your offering against the competition, consider the following:

- Is their product/service the same as, or more convenient to access than yours? Is it in more outlets and easier to find? Do they have national reach perhaps?
- Do they offer anything extra that you do not at this stage? (eg after-sales service, warranty, guarantees, free delivery, accreditation standards etc)
- Is their branding/packaging/merchandising/marketing/brand awareness better than yours? What about their online presence and social media?

In other words, you need to really (really!) compare apples with apples when doing your Competitor Pricing analysis and comparing your price with theirs!

SUPPLY AND DEMAND

Just before you set your final prices, it is always important to remember that one of the major drivers of price is supply and demand. Simply put, the less supply (or product available for sale) and more demand (or buyers wishing to purchase) for a particular product, the higher the price people are prepared to pay for it.

Look at the price of citrus fruit – in season there are plenty of oranges and the price is low. Out of season there is a shortage and the price increases, sometimes as much as threefold or even more. It is the same with most products. If too many people in an area are selling bottled water, or offering computer training, or making school uniforms, customers will demand lower prices and sellers will ultimately have to 'discount' to make a sale.

If this is a challenge you face, your job is to develop products & services that are **original, unique and different** to what everyone else is selling – innovate, don't replicate! A second strategy is to add value without necessarily adding to the selling price – what can you offer that the competition is not? Free delivery perhaps? Or a warranty? Perhaps some kind of a loyalty programme? Thirdly, you always need to concentrate on building a powerful brand, because the value that people attach to your brand will translate **directly** into a better selling price and a more loyal customer base.

A focus on innovation and value-add will help ensure that you are able to command a fair price for your products, while a focus on brand building will help you get a great price. This applies whether you are in the farming sector, consulting, services – what can you do differently, and how can you add value to your customer?

Remember that the concept of demand will also impact your selling price to a channel partner (retailer or wholesaler/distributor), in the form of a quantity discount - the greater the volume of orders they offer (Demand), the lower the price that those customers will expect to pay.

PSYCHOLOGICAL PRICE POINTS

Do you think setting prices like R99 or R499 is cheesy and pointless? Think again. If you have a product or service that should be sold at R100 (or even R110), you have two options. Either drop it below R100, and you'll see sales pick up. Or, if you don't want it that cheap, raise it up to R125. In general, R125 and R110 feel about the same to people, so you'll sell the same amount and make R15 extra profit each time.

Remember, you're not exempt if you're selling a service. If you're a consultant, people will perceive your services as significantly more affordable at R385/hour, than at R400. If you're a web developer, people are more likely to hire you if you quote R14,700 for a job instead of R15,000. We are not 100% certain why this is the case, it is just the way the human brain works....

Interestingly, the one area where this strategy does not seem to hold sway is at the premium/luxury goods level. Research shows that at this level customers respond more to rounded-off prices such as R1000 or R5000...

BE WISE ABOUT RAISING YOUR PRICES

It's a fact of life that you will have to raise prices from time to time. If you never raise your prices, you won't stay in business for long. You have to constantly monitor your prices and your costs so that you are competitive in the market, and that you make the kind of money you need to make.

That said, there are risks to raising prices, particularly when your customers themselves are going through tough financial times. Recent food and petrol hikes have everyone twitchy about everything going up, so take into account the following when you have to raise your prices:

Some Tips around Raising Prices:

- **Do raise prices when your competitors are raising prices.** If the competition has upped the ante, that is a good signal that the market can and will support a price increase for your services, too.
- **Do raise prices if your customers say you're a bargain.** If your customers keep commenting about what a great value your prices are, that may be an indication you're charging too little...
- **Do raise prices if you introduce a new product or service.** But only if you need to, not just for the sake of it.
- **Don't raise prices too much all at once.** In a tough economy, a big jump in prices might be too much of a jolt for your customers. Instead, raise prices in small increments of two or three price increases over the course of a year.
- **Don't raise prices across the board.** Customers may not notice price increases if they are only for certain products or services and not for others.

A new strategy that a lot of retailers are pursuing is Bundling, whereby they offer a better price if you buy three of an item as an example. This is a strategy that can sometimes offset rising costs by driving volumes.